



Final Product RIAP 178 Final Paper

Germany Aid Summary

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RIAP 178: Intelligence Methods and Analysis

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May 5, 2024

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About This Document:

In this document contains the research and analysis on Germany pertaining to the question, “If the US provided aid to Germany, what sector would give Germany the most national stability?”

This document also contains the multiple projects surrounding the research of Germany:

- Conceptual Model
- Intelligence Collection Plan (ICP)
- Indicator Analysis
- Link Chart
- Geospatial Preparation of the Environment (GPE)
- Simple Scenarios

The following words of estimative probability are used to represent the analyst’s confidence:

Almost Certain	86-99%
Highly Likely	71-85%
Likely	56-70%
Even Chance	46-55%
Unlikely	31-45%
Highly Unlikely	16-30%
Remote	1-15%

All information in this report is unclassified, and the utilized sources have been evaluated and determined to have medium to high reliability and usefulness.

Any further questions can be answered by my contact below:

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Executive Summary:

Based on known information regarding Germany's current standing they will remain stable in the next 3 years with the provided aid from the United States. Although the alarming rise of the Alternative for Germany (AfD) has been a cause for concern for the past couple of months, the Prime Minister and other government officials are doing their best to suppress and denounce the wrongful acts of the AfD. Relations with foreign countries are currently under discussion. With China being the main economic partner to Germany they are stuck being dependent on China's economy and cooperation with Germany. As with Russia, Germany currently supports Ukraine in the Russia-Ukraine War leading to negative relations with Russia. The economy is currently balancing between unstable and stalled due to the energy crisis, although Germany is making changes to slowly fix the depression that they are in. The US funding should be directly focused into supporting Germany's economy and social instability though pushing Germany's clean energy and any remaining funds should go to help the social and political issues in Germany.

Key Takeaways:

- Germany's energy crisis stems from 2011 when their government decided to start shutting down their nuclear power plants
- Germany was reliant on Russian gas until the Russia-Ukraine War in 2022
- Germany's economy is heavily reliant on China
- The AfD party is a threat right now, however, it is likely to subside.

Aid Recommendations:

- **It is almost certain that Germany will become more stable if 80% of the aid is to be put towards renewable sources of energy.** This would largely impact the instability in the energy sector of Germany due to their switch to renewable sources and drought from Russian supply. The aid would help reduce energy costs and support the large consumption in Germany.

- **It is likely that Germany's society will be more stable if 10% of aid is put in the political stabilization between the current parties running in Germany.** This would impact Germany's current social unrest surrounding the Nazi affiliation within the AfD party and bring Germany's government and people closer together.
- **It is very likely that Germany will become more stable if 10% of aid is invested into the economy** to not only help Germany stabilize itself, but to also ensure that after Germany uses the aid provided, their economy will be stabilized without stress from other issues. The aid would also allow Germany to become more independent from China.

Discussion:

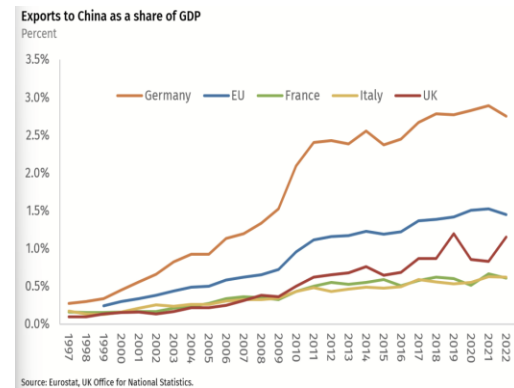
Economics:

Overview

Germany is the largest national and manufacturing economy in Europe. Grossing 4.5 trillion USD in 2023. Germany's exports are expected to be -4.4% in 2024. Germany's expected decrease in exports is highly likely to have a major negative impact on Germany's economy. Germany has an expected unemployment rate of 6% and inflation rate of 2.2% which is very close to full employment. Germany's debt ratio has reached 63.7% of the country's GDP compared to 66.3% in 2022 with just under 3 trillion in national debt. They use the Euro which has a 1 to 1.07 USD exchange rate. Germany is the third largest economy in the world by nominal GDP with 70% in service, 29.1% in industry, and 0.9% in agriculture. With their GDP focused more on industry compared to countries such as America with 20% in industry Germany as a country is more focused in manufacturing. The GDP is expected to go from -0.5% in 2023 to 0.7% in 2024. This dance around zero is why the economy has been mostly stagnant is a result of the energy crisis in Germany.

Germany and China have both been complementary trade partners for the past two decades with each country being able to grow upon one another. However, in the most recent years their partnership has begun to shift in favor of China. Germany's exports to China account for a much larger portion of their GDP compared to other European countries. Many small to medium-sized German companies have begun to dislike the Chinese market because of their affiliation with geopolitical tensions, rising compliance costs, and policies that favor home-grown firms. Despite the negative sentiment surrounding the relationship to China bigger German firms continue to invest in China to

compete with the cut-throat market. Companies such as BASF and Volkswagen have announced plans to downsize in Germany while increasing investment in China. This motion towards Chinese alternatives is a cause for concern and instability within the German manufacturing industry and is likely to have a negative impact towards their economy.



Geography:

Overview



Germany is in North-central Europe where it borders the second greatest number of countries in Europe. It is also the second most populous country in Europe. Germany's capital is Berlin with all its major cities spread around the outside of the country. This is due to the high elevation and mountainous south side and central part of Germany with the North, East, and West side having lower elevations. North of Germany is the North Sea on the East side and the Baltic Sea on the West side with Denmark in the middle. West Germany borders The Netherlands, Belgium, and Luxembourg. The Southwest borders France. To the South there is Switzerland and Austria. Southeast Germany shares a border with the Czech Republic. On the Eastern side Poland borders Germany. Germany is a total of 357,021 square km (about the area of California), with 97.66% land, 2.34% water, 2,389 km of coastline, and 3,714 km of borders.

Military:

Overview

Germany has the second largest military in the EU. Their Armed Forces (Bundeswehr) consists of the Army (Heer), Air Force (Luftwaffe), Navy (Marine), and the major organizational elements are the Joint Support Service (Streitkräftebasis), Joint Medical Service (Sanitätsdienst), and Cyber and Information Domain Service (Cyber- und Informationsraum). Currently about 265,000 men and women are employed by the

Bundeswehr. Around 184,000 are military personnel, while 80,000 are civilian personnel. Their military/defense budget was \$55.76 Billion in 2022 which is about 1.4% of the GDP. Germany is heavily supported by US military with most of the military bases in German land either US affiliated or a US base.

The total number of US military personnel has risen significantly in the past few years from under 39,000 in 2019 to over 50,000 in 2024. The only other country where the US keeps a comparable number of overseas troops being Japan. The US European Command (EUCOM) headquarters is in the southwestern city of Stuttgart. The US uses this as the coordinating structure for all American military forces across 51 primarily European countries. Five of the seven US Army garrisons in Europe are also located in Germany. Due to the large number of US military influence within Germany many small towns and American communities have developed around some German and US bases. The US and Germany hold a very strong and tight military relationship that is likely to only improve.

Politics:

Overview

Germany is a Federal parliamentary republic. The Chancellor is Olaf Scholz, and he has 16 ministers under him that take care of certain sectors such as agriculture, technology, foreign affairs and many more. Germany has a three-branch system with the executive, legislative, and judicial branches. The executive branch is made up of the chancellor who is elected by the Bundestag and formally appointed by the president of Germany and the cabinet ministers. The legislative power is divided between the Bundestag and the Bundesrat. The Bundestag is directly elected by the German people, while the Bundesrat represents the governments of the regional states. The judicial system follows the civil law tradition where it comprises of three types of courts, ordinary, specialized and constitutional. Germany is a member of the UN, NATO, G7, G20, and OECD. Germany was a founding member of the European Community in 1958 which eventually became the EU in 1993.

Germany has four major parties. These four parties being the Christian Democratic Union (CDU), Social Democratic Party of Germany (SDP), Alternative for Germany (AfD), and the Green Party. The party currently in power is the SDP with the next election in 2025. The AfD party is currently a likely threat to Germany's stability. This is because of the significant amount of Nazi affiliation within the party. Germany's AfD party is the farthest right leaning party since the Nazi party and has been publicly denounced by Germany's current Chancellor. A prominent figure in the AfD party currently is on trial over alleged use of Nazi

slogan. Björn Höcke, 52, is the leader of the regional branch of the AfD and is being charged for ending a speech with the words “Everything for Germany!” which is associated with the Nazi party. Germany has almost a no-tolerance policy for Nazi relations or messages and although this could be interpreted as a regular saying many of high-ranking officials within the AfD have proven to show Nazi ideologies and affiliations so it would not come as a surprise if this was said on purpose.

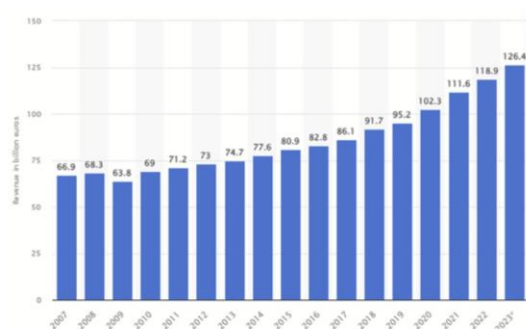
Social:

Overview

Germany supports many modern ideas and is regarded as a progressive or open-minded country. Some of these modern ideas include gender equality, disability rights, and LGBTQ rights. Sam-sex marriage has been permitted since 2017 in Germany. 50.7% of the population in Germany belongs to Christian denominations with 41% having no religious affiliation. There are about 100,000 members in the German-Jewish community, many from the former Soviet Union. Germany also has a substantial Muslim minority, with most coming from Turkey. Information moves fast in Germany, and this is because they have the largest television market in Europe. Some of the world’s largest media conglomerates are in Germany. Some of them being Bertelsmann, Axel Springer AG, and ProSieben Sat. 1 Media. German-speaking book publishers produce 700,000,000 copies of books every year, with 80,000 titles and 60,000 new publications. News is also very popular in Germany with 38 million people in Germany still reading printed newspapers every day. 80,000 copies sold daily are distributed digitally with 14.6 million people making use of newspapers’ digital offerings.

Technology/Infrastructure:

Overview



IT Revenue in Germany 2007-23

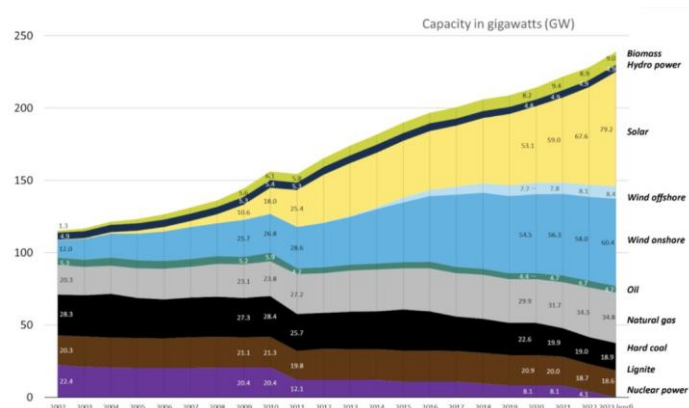
Germany’s technology and infrastructure sector is one of the best in the world. They have one of the largest ICT markets in the world and the single largest software market in Europe. With 82.4 billion euros in revenue in 2023 for software and 126.4 billion euros in 2023 for IT. Around 100,000 IT companies in Germany employing approximately 1.189 million people

in 2023. Germany's Technological sector is heavily supported by the German government. This is done through a range of initiatives, including tax incentives for research and development, grants and loans for startups, and a focus on digital infrastructure. Germany also has a culture of innovation that allows the technology sector to flourish. Germany has a long-standing focus on quality and production and a well-established reputation for excellence in engineering and manufacturing. They also have a highly skilled workforce with engineering and technical skills at the forefront and a well-established vocational education system. Germany is also home to many world-class research institutions and universities which conduct cutting-edge research in areas such as robotics, AI (Artificial Intelligence), and biotechnology.

Energy/Environment:

Overview

Germany is currently in an energy crisis. Since 2011 Germany has been trying to make a switch to renewable sources of energy by funding solar, wind, and alternative sources. As well as finding new sources of renewable energy Germany has been getting rid of sources of nonrenewable energy and started the shutdown of their



nuclear power plant in 2011 with the final plant being shut down in April of 2023. Germany has a target of 80% of energy coming from renewable sources by 2030. Germany's top five sources of energy in 2023 where wind, brown coal, solar, natural gas, and biomass.

Germany is the largest energy consumer in Europe. Energy costs increased dramatically in the past 2 years due to the Russia-Ukraine war and the switch to renewable sources. This is highly likely to continue to negatively affect Germany's economy and energy consumption/production for the foreseeable future without the help of US aid.

Outlook:

Best Case Scenario: Path to Prosperity

The best-case scenario is that Germany fully applies and commits its green energy policies and movements to recover from its lack of energy and economic depression. As well as the AfD's nazi and radicalized ideologies and followers slowly fizzling out rather than growing. In this scenario

the US should provide funding towards Germany's push out of its depression even further by putting money into infrastructure and production of power. The US should not have to worry about the AfD due to the majority being against them.

Worst Case Scenario: Detrimental Depression

The worst-case scenario is that Germany's economy becomes even more unstable and spirals into a point of no return and the public is still divided between political actions such as the AfD and many of the decisions that led to the depression such as switching to clean energy. In this scenario the US should provide funding into political stabilization and into either the reopening of non-clean energy or put enough money into clean energy that the economy and production of energy can at least slowly bring itself back to stability.

Main Line Scenario: Stalled Slump

The main line scenario is that Germany will stay around the 0% growth rate for a while and occasionally fluctuate into the negatives until it eventually slowly goes back to positive numbers. Politically the controversy surrounding the AfD will continue at least until the election and start to decline after. In this scenario the US would have the ability to evenly distribute its funding comfortably to support Germany's growth. They would do this by putting money into things such as solar panels, wind turbines, and research into better ways to produce mass clean energy.

Additional Scenario: Alternative Adaptation

The additional scenario is that the AfD wins the upcoming election and enforces Nazi policy and ideologies thus creating the second establishment of the Nazi party and evolving into WWII or a second Holocaust. In this scenario the US would have to disregard all other issues in Germany and fund potential war efforts, propaganda, and support for allies. Due to the potential of a world war and effects on other countries surrounding Germany and world powerhouses. This would cause the US to redo the draft and even force production companies to produce for the war effort.

See Annex F for the Simple Scenarios Analysis

Comments:

The sources in this report have been evaluated for their reliability/ All sources are publicly available. See Annex B for the Intelligence Collection Plan.

Source reliability: High

Analytic confidence: 8.326

Sources:

<https://kpmg.com/de/en/home/insights/overview/economic-key-facts-germany.html>

<https://www.cleanenergywire.org/factsheets/germanys-energy-consumption-and-power-mix-charts>

<https://www.deutschland.de/en/news/germany-accelerates-expansion-of-solar-power>

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<https://www.trade.gov/country-commercial-guides/germany-information-and-communications-technology-ict>

<https://www.trade.gov/country-commercial-guides/germany-energy>

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<https://www.cia.gov/the-world-factbook/countries/germany/>

<https://apnews.com/article/germany-economy-energy-crisis-russia-8a00eebbfab3f20c5c66b1cd85ae84ed>

<https://www.worlddeconomics.com/Country-Size/Germany.aspx>

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<https://www.bundesbank.de/en/tasks/topics/economic-risks-from-germany-s-ties-with-china-922490>

<https://www.britannica.com/place/Germany/Land>

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<https://apnews.com/article/germany-far-right-afd-hoecke-trial-6e63cdabba2858a968c20664226ba2cb>

<https://www.dlapiper.com/en/insights/publications/real-estate-gazette/real-estate-gazette-infrastructure/germanys-infrastru>

<https://international.la-croix.com/country/germany/183>

<https://tradingeconomics.com/germany/indicators>

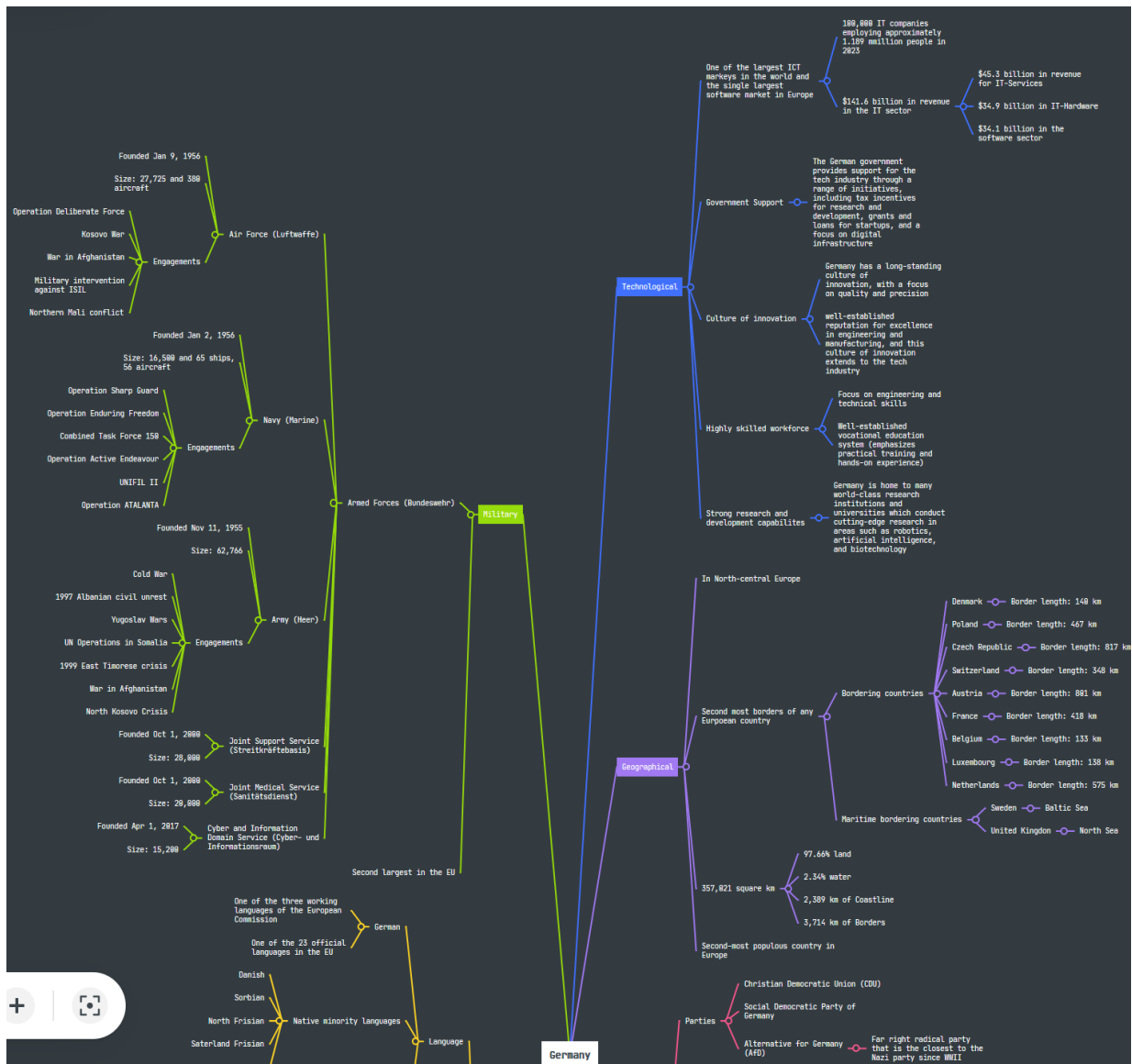
<https://www.deutschland.de/en/topic/environment>

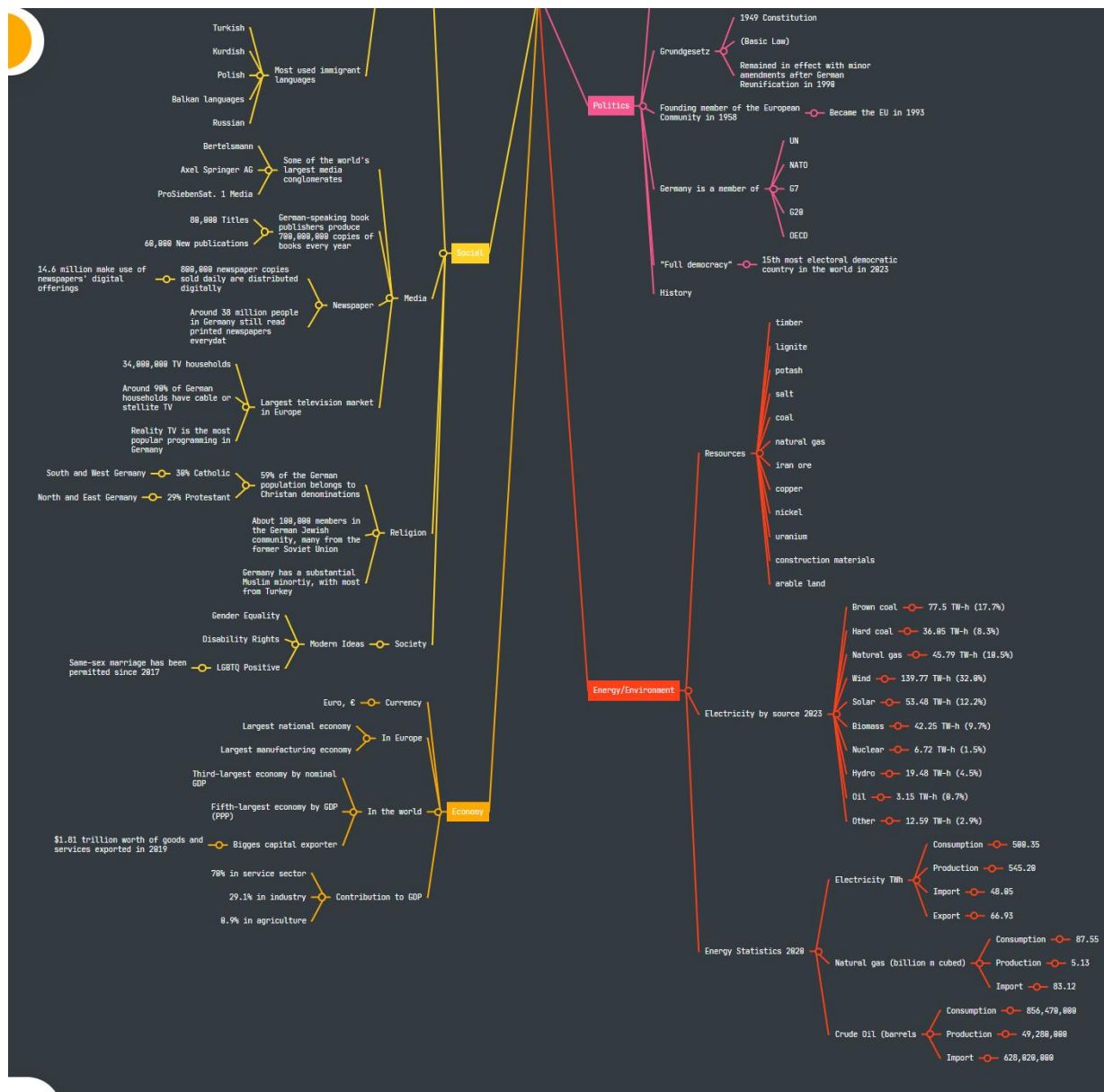
<https://www.spiegel.de/international/germany/>

<https://earth.google.com/web/search/germany/@51.17580575,10.45411935,231.74262483a,1492409.99421109d,35y,0h,0t,https://www.thelocal.de/>

Annexes:

- Annex A: Conceptual Model





- Annex B: Intelligence Collection Plan

Link	Name	Source Type	Intellig	Periodicity	Purpose	Utility	Comments	So	Date Visited
https://earth.google.com/web/search/germany/@51.17580575,10.45411935,231.74262483a,1492409.99421109d,35y,0h,0t,0r/data=CiglJgokCRimFXyx-zZAERemFXyx-zbAGUR-i-kyHkVAleBCrJmlpk_AOgMKATA	Google Earth	Other	IMINT	Frequent	Geography	Useful	Useful for geography and in depth look into the country	8	2/4/20024
https://www.thelocal.de/	The Local De	Online News	OSINT	Daily	All	Very Useful	Allows for easy and reliable access to many different topics	6	2/4/20024
https://www.spiegel.de/international/germany/	Spiegel	Online News	OSINT	Daily	Politics	Useful	Provides many political insights in local Germany	6	2/4/20024
https://www.deutschland.de/en/topic/environment	Deutschland	Online News	OSINT	Daily	All	Useful	Gives daily updated information about all of Germany	6	2/4/20024
https://tradingeconomics.com/germany/indicators	Trading economics	Stock and Econ Stats	OSINT	Constant	Economics	Very Useful	Provides information on Germany's economic position	8	2/4/20024
https://international.la-croix.com/country/germany/183	International La Croix	online News	OSINT	Weekly	Religious	Useful	Many religious articles on different perspectives, movements, and changes	6	2/4/20024
https://www.dlapiper.com/en/insights/publications/real-estate-gazette/real-estate-gazette-infrastructure/germanys-infrastructure-and-energy-challenge-new-dynamics-and-opportunities	dlapiper	Online Article	OSINT	One Ti	Infrastructure	Useful	An article that shows statistics and future plans for Germany's infrastructure	5	2/4/20024

- Annex C: Indicator Analysis

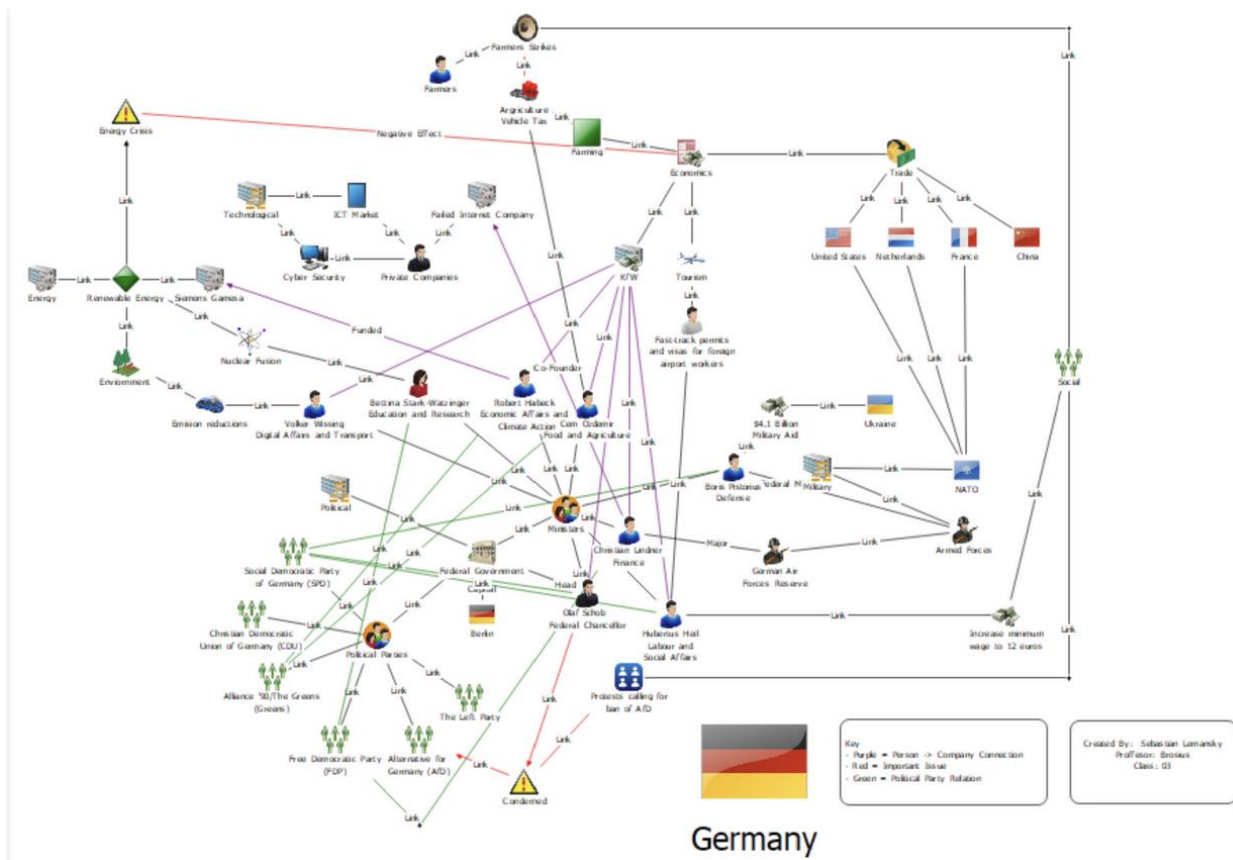
CATEGORIES	INDICATORS	2023				Jan-Mar
		Jan-Mar	Apr-Jun	Jul-Sep	Oct-Dec	
Political Instability	Internal Conflict	 2	 2	 2	 3	 3
	Corruption	 2	 2	 2	 2	 2
	Ethnic Tensions	 3	 3	 3	 4	 4
	Law and order	 0	 0	 0	 1	 2
Military Instability	Military strength	 0	 0	 0	 0	 0
	Public support	 2	 2	 2	 2	 2
	Terrorism	 0	 0	 0	 0	 0
	Weapons system	 1	 1	 1	 2	 2
Geographic/Environmental Instability	Energy prices Increase	 3	 2	 2	 2	 1
	Climate change	 2	 2	 2	 2	 2
	Air quality	 0	 0	 0	 0	 0
	Waste generation	 0	 0	 0	 0	 0
	Threatened species	 1	 1	 1	 1	 1
	Water quality	 0	 0	 0	 0	 0
Social Instability	Strikes	 3	 3	 3	 3	 3
	Housing status	 1	 1	 2	 2	 2
	Employment status	 1	 2	 2	 2	 2
	Income level	 1	 1	 1	 1	 1

Technological/ Innovations/Scientific stability	Cybersecurity		0		0		0		0		0
	Intellectual property		0		0		0		0		0
	Manufacturing		0		0		0		0		0
	Technological progress		0		0		0		0		0

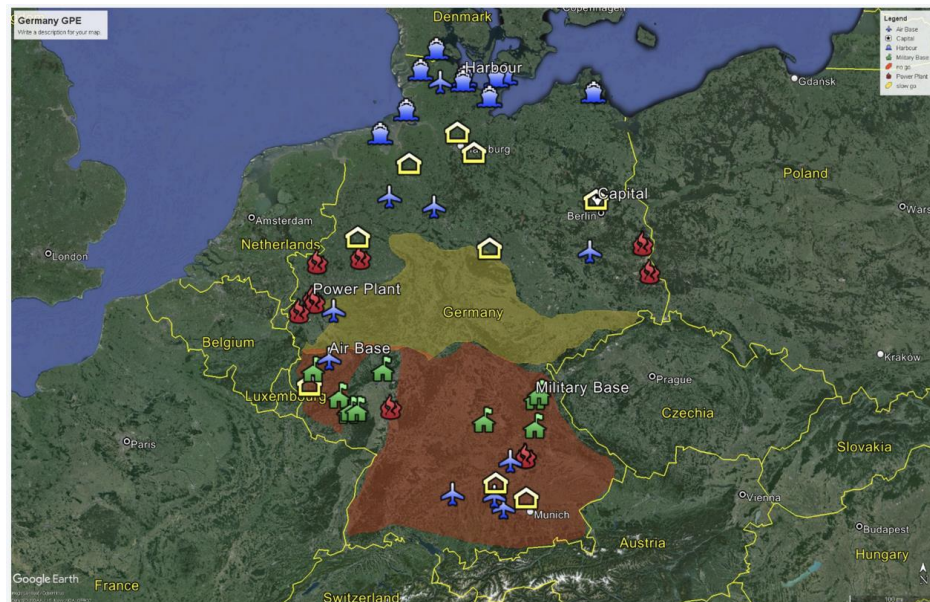


Tech Comm In											
Economic Instability	Inflation Rate Increasing		3		3		2		1		0
	fall in home prices		0		0		1		1		1
	changes in the interest rate		1		3		3		1		1
	black swan events		1		1		0		0		0

- Annex D: Link Chart



- Annex E: Geospatial Preparation of the Environment



- Annex F: Simple Scenarios

Best Case Scenario: Path to Prosperity

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Country: Germany				
	Worst case scenario	Best case scenario	Main line scenario	Additional scenario
	Country falls deeper into economic	Country slowly crawls out of its economic	Country remains in the stalled state	AfD grows in popularity and wins the election

	depression and public unrest	depression and stabilizes itself		
<u>Opposition</u> <u>Parties'</u> <u>activities:</u> The rise of the AfD party has led to many controversies regarding Nazi ideologies.	+	-	0	+
<u>Infrastructure</u> <u>Deficiencies:</u> Germany is currently lacking in power supply and gas which is impacting prices for gas and electricity.	+	-	-	0
<u>Economic</u> <u>Improvement:</u> They are increasing the amount of renewable energy with a big push to counteract the lack of energy produced from the closed plants.	-	+	+	0

<u>Ethnic Tensions:</u> With the rise of the AfD there are many stories of Nazi messages or happenings surrounding the government and groups of people.	+	-	-	+
<u>Tension and/or negotiations with China/Russia:</u> They are actively maintaining and discussing economic ties with China and they are supporting Ukraine in the Russia-Ukraine war.	-	+	+	+